East African Portland Cement PLC

Holding life together

ANNOUNCEMENT OF THE UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 31 DECEMBER 2019

The Directors of East African Portland Cement PLC are pleased to announce the unaudited consolidated results for the six months period ended 31st December 2019

Condensed Consolidated Statement of Comprehensive Income for six months period ended:

	31 Dec 2019 Sh' 000	31 Dec 2018 Sh' 000
Revenue	1,483,572	1,372,146
Cost of Sales	(1,797,456)	(1,800,132)
Gross Profit/(Loss)	(313,884)	(427,986)
Other Operating Income	5,596	20,417
Administration and Selling Expenses	(1,074,954)	(1,011,450)
(Loss)/Profit from Operating Activities	**(1,383,242)**	**(1,419,019)**
Interest Income	1,282	1,372
Finance Costs	(253,019)	(204,701)
(Loss)/Profit Before Tax	**(1,634,979)**	**(1,622,348)**
Tax (Charge)/Credit	59,576	355,545
(Loss)/Profit After Tax	**(1,575,403)**	**(1,266,803)**
Other Comprehensive Income	(3,863)	(14,132)
Total Comprehensive Income	**(1,579,266)**	**(1,280,935)**
Earnings Per Share	(17.55)	(14.23)

Condensed Consolidated Statement of Cash Flows for the six months period ended:

	31 Dec 2019 Sh' 000	31 Dec 2018 Sh' 000
Cash flow Generated from Operations	(429,527)	(158,033)
Net Interest Paid	(21,089)	(309,657)
Cash Generated From Operating Activities	**(450,616)**	**(467,690)**
Net Cash Used in Investing Activities	**1,000,000**	**(13,892)**
Loan Restructuring	-	750,030
Receipt of Government Debt	176,035	177,228
Repayment of post import finance	(143,622)	(166,119)
Loan Repayment	(648,967)	(186,551)
Net Cash Used in Financing Activities	**(616,554)**	**574,588**
Effect of foreign currency translation	(3,863)	(14,132)
Net Decrease in Cash and Cash Equivalents	(67,170)	93,006
Cash and Cash Equivalents as at 1st July	(1,133,162)	(1,025,650)
Cash and Cash Equivalents as at 31 December	**(1,204,195)**	**(946,776)**

Condensed Consolidated Statement of Financial Position as at:

	31 Dec 2019 Sh' 000	30 June 2019 Sh' 000
Assets		
Non-current assets	32,205,707	32,922,661
Current assets	2,801,296	3,618,444
Total assets	**35,007,003**	**36,541,105**
Equity and Liabilities		
Share capital	450,000	450,000
Other Reserves	19,490,712	21,069,978
Total equity	**19,940,712**	**21,519,978**
Non current liabilities	907,279	1,232,026
Current liabilities	14,159,012	13,789,101
Total liabilities	**15,066,291**	**15,021,127**
Total equity and liabilities	**35,007,003**	**36,541,105**

Condensed Consolidated Statement of Changes in Equity for the six months period ended:

	31 Dec 2019 Sh' 000	30 June 2019 Sh' 000
Share Capital	450,000	450,000
Share Premium	648,000	648,000
Asset Revaluation Reserve	1,360,599	1,360,599
Retained Earnings	17,470,702	19,046,105
Foreign Currency Translation Reserve	11,411	15,274
Total Equity	**19,940,712**	**21,519,978**

PERFORMANCE

Sales revenue increased by 8% over the same period in the previous year in spite of a challenging business environment marked by a general decline in selling prices. Administrative and selling expenses grew by 6% driven by restructuring costs.

Total assets reduced by 4% due to reduction in other receivables. The Company continued to stabilize on its restructuring agenda with utmost focus to effectively serve its customers efficiently.

The Board is optimistic that with the implementation of the Company's medium term plan, the Company will return back to profitability in the short run.

DIVIDEND

The directors do not recommend payment of an interim dividend.

BY ORDER OF THE BOARD

26 February 2020

EAST AFRICAN PORTLAND CEMENT PLC
INTERIM CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE SIX MONTHS PERIOD ENDED 31 DECEMBER 2019

	Note	Six months to 31 December 2019 KShs'000	Six months to 31 December 2018 KShs'000
REVENUE		1,483,572	1,372,146
COST OF SALES		(1,797,456)	(1,800,132)
GROSS PROFIT		(313,884)	(427,986)
OTHER OPERATING INCOME		5,596	20,417
ADMINISTRATION AND SELLING EXPENSES		(793,031)	(1,011,450)
REDUNDANCY COSTS		(281,923)	-
LOSS FROM OPERATIONS		(1,383,242)	(1,419,019)
INTEREST INCOME		1,282	1,372
FOREIGN EXCHANGE (LOSSES)/GAINS		-	-
FINANCE COSTS		(253,019)	(204,701)
LOSS BEFORE TAXATION		(1,634,979)	(1,622,348)
TAXATION CREDIT	4	59,576	355,545
LOSS FOR THE PERIOD		(1,575,403)	(1,266,803)
OTHER COMPREHENSIVE INCOME			
Items that may be reclassified subsequently to profit or loss:			
Exchange differences on translation of foreign operations		(3,863)	(14,132)
TOTAL COMPREHENSIVE LOSS		(1,579,266)	(1,280,935)
LOSS PER SHARE			
Basic and diluted (KShs)	5	(17.55)	(14.23)

EAST AFRICAN PORTLAND CEMENT PLC
INTERIM CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2019

	Note	31 December 2019 KShs'000 (Unaudited)	30 June 2019 KShs'0000 (Audited)
ASSETS			
Non Current Assets			
Property, plant and equipment	7	7,036,012	7,303,284
Capital work- in- progress		172,418	172,418
Prepaid operating leases		6,334	6,353
Investment properties		23,794,897	23,794,897
Dues from Related Parties		1,173,026	1,645,709
Deferred Tax		23,020	-
		32,205,707	32,922,661
Current assets			
Inventories		975,995	1,131,473
Trade and other receivables		1,684,494	2,375,618
Taxation recoverable		49,077	50,078
Short term deposits		44,368	43,278
Bank and cash balances		47,362	17,997
		2,801,296	3,618,444
Total assets		35,007,003	36,541,105
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	8	450,000	450,000
Share premium		648,000	648,000
Asset revaluation reserve		1,360,599	1,360,599
Retained earnings		17,470,702	19,046,105
Foreign currency translation reserve		11,411	15,274
Total equity		19,940,712	21,519,978
Non current liabilities			
Staff gratuity		907,279	1,192,486
Deferred Tax		-	39,540
		907,279	1,232,026
Current liabilities			
Borrowings	9	5,654,625	5,527,789
Loan Swap Liability		188,910	188,910
Bank overdraft		1,295,925	1,194,437
Trade and other payables		6,917,872	6,776,285
Dividends payable		101,680	101,680
		14,159,012	13,789,101
Total equity and liabilities		35,007,003	36,541,105

EAST AFRICAN PORTLAND CEMENT PLC
INTERIM CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE SIX MONTHS PERIOD ENDED 31 DECEMBER 2019

	Share capital KShs'000	Share premium KShs'000	Asset revaluation reserve KShs'000	Retained earnings KShs'000	Foreign currency translation reserve KShs'000	Total KShs'000
At 1 July 2018	450,000	648,000	1,506,107	22,057,519	34,419	24,696,045
Prior year adjustment	-	-	-	112,705	-	112,705
At Start of Year	450,000	648,000	1,506,107	22,170,224	34,419	24,808,750
Transfer of excess depreciation	-	-	(207,869)	207,869	-	-
Deferred tax on excess depreciation	-	-	62,361	(62,361)	-	-
Dividends paid	-	-	-	-	-	-
Total comprehensive income	-	-	-	(3,269,627)	(19,145)	(3,288,772)
At 30 June 2019	450,000	648,000	1,360,599	19,046,105	15,274	21,519,978
At 1 July 2019	450,000	648,000	1,360,599	19,046,105	15,274	21,519,978
Transfer of excess depreciation	-	-	-	-	-	-
Deferred tax on excess depreciation	-	-	-	-	-	-
Total comprehensive income	-	-	-	(1,575,403)	(3,863)	(1,579,266)
At 31 December 2019	450,000	648,000	1,360,599	17,470,702	11,411	19,940,712

EAST AFRICAN PORTLAND CEMENT PLC
INTERIM CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE SIX MONTHS PERIOD ENDED 31 DECEMBER 2019

	Note	Six Months to 31 December 2019 KShs'000	Six Months to 31 December 2018 KShs'000
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash generated from operations		(429,527)	(158,033)
Interest paid		(21,281)	(309,864)
Interest received		192	207
Income tax paid		-	-
Net cash used in operating activities		(450,616)	(467,690)
CASH FLOWS FROM INVESTING ACTIVITIES			
Purchase of property, plant and equipment		-	(18,328)
Additions to capital work-in-progress		-	-
Proceeds from sale of property and equipment		-	4,436
Proceeds from sale of Land		1,000,000	- -
Net cash used in investing activities		1,000,000	(13,892)
CASH FLOWS FROM FINANCING ACTIVITIES			
Restructuring of Term Loan		-	552,361
Receipt of Insurance Premium Financing		-	24,997 -
Receipt of Government Debt		176,035	172,672 -
Repayment of post import finance		(143,622)	(166,119)
Receipt of post import finance		-	177,228
Loan repayment		(648,967)	(186,551)
Net cash generated from financing activities		(616,554)	574,588
INCREASE IN CASH AND CASH EQUIVALENTS		(67,170)	93,006
Effect of foreign currency translation		(3,863)	(14,132)
CASH AND CASH EQUIVALENTS AS AT BEGINNING OF PERIOD		(1,133,162)	(1,052,651)
CASH AND CASH EQUIVALENTS AT THE END OF THE PERIOD		(1,204,195)	(946,777)